

The Economics of Brexit

Lecture 4: Migration

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Macroeconomic Applications and Policy

Context

- “Free movement of workers is a fundamental principle” ... “enshrined in Article 45 of the Treaty on the Functioning of the European Union and developed by EU secondary legislation”.
- “Free movement of workers also applies, in general terms, to the countries in the European Economic Area: Iceland, Liechtenstein and Norway”.

European Commission: free movement of workers

Brexit and free movement of people

Theresa May · 2 October 2016

"I want it to give British companies the maximum freedom to trade with and operate in the Single Market – and let European businesses do the same here."

"But let me be clear. We are not leaving the European Union only to give up control of immigration again."

Angela Merkel · 6 October 2016

"Brexit negotiations won't be easy. If we don't say full access to the internal market is linked to full freedom of movement, then a movement will spread in Europe where everyone just does whatever they want."

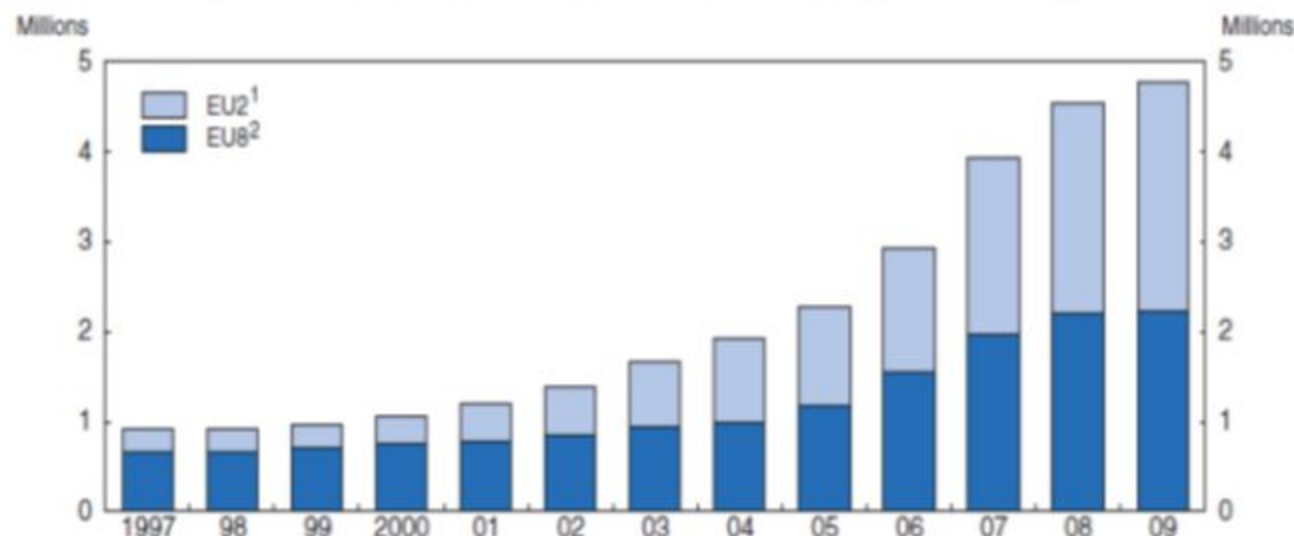
Learning objectives

After this topic, you will be able to:

- Discuss the evidence on the migration flows in Europe.
- Analyse the economic effects of migration.
 - direct effects (wages, unemployment)
 - indirect effects (welfare state, innovation)
- Analyse the effects of free trade in goods and services on domestic labour markets (e.g. wages, unemployment).
- Analyse the interplay between free mobility of goods and people.

EU enlargement towards the East

Figure 2.2. Stock of EU8 and EU2 nationals in EU15 countries



1. EU2 comprises Bulgaria and Romania.

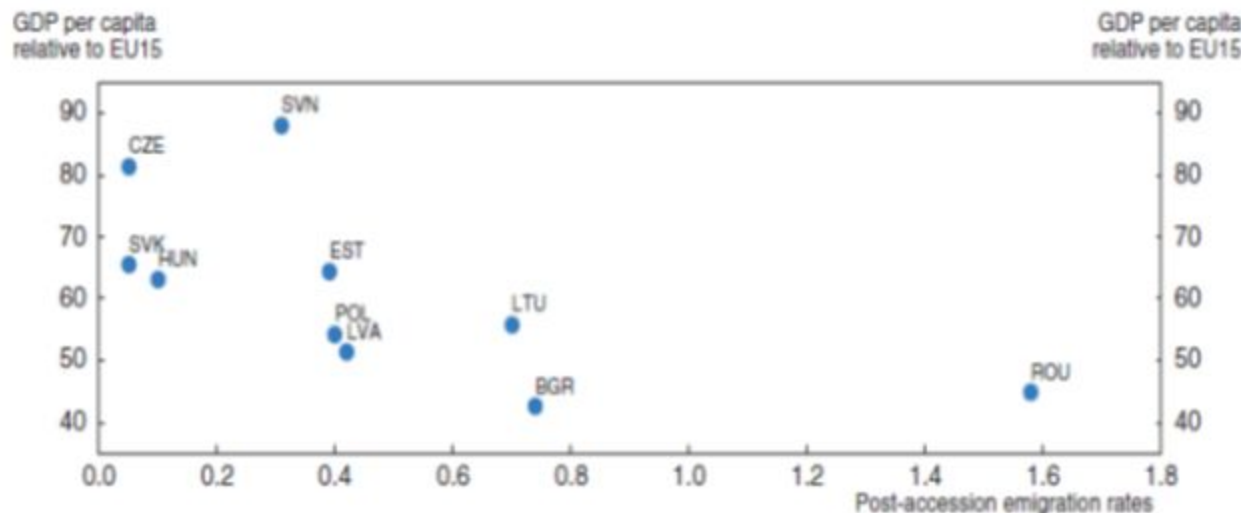
2. EU8 comprises the Czech Republic, Estonia, Hungary, Latvia, Lithuania, Poland, Slovakia and Slovenia.

Source: Holland, D. et al. (2011), "Labour Mobility within the EU – The Impact of Enlargement and the Functioning of the Transitional Arrangements", based on a study conducted for the European Commission, NIESR, London.

Source: OECD (2012)

Behind the migration flows

Figure 2.4. Post-accession emigration rates and relative GDP per capita¹



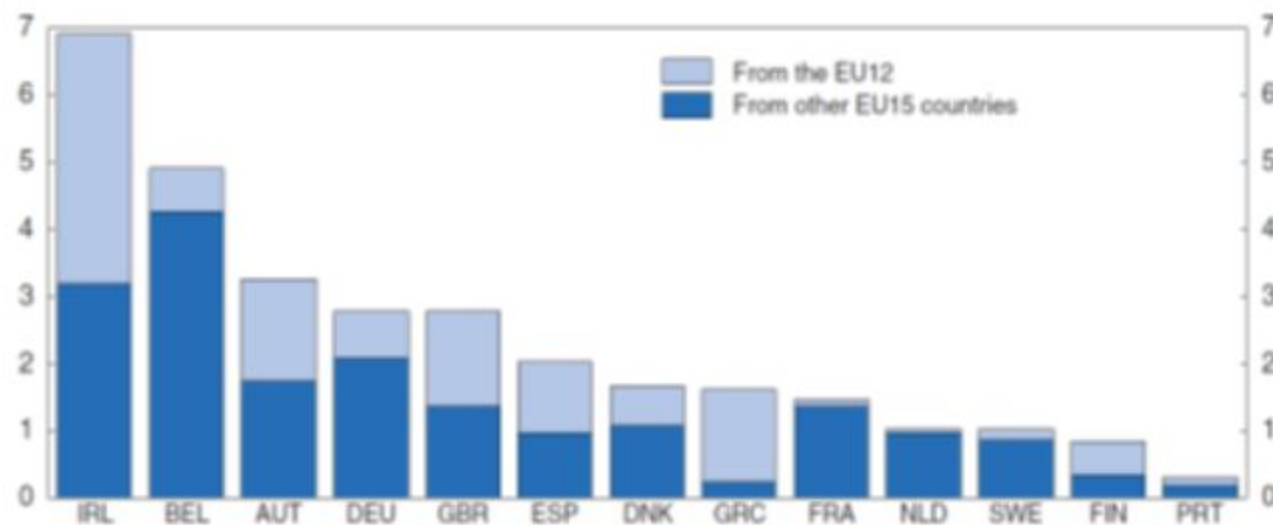
1. The post-accession period is set to 2004-09 for the EU8 and 2007-09 for the EU2; the GDP per capita is calculated relative to the EU15 in PPP terms.

Source: Eurostat and Holland, D. et al. (2011), "Labour Mobility within the EU - The Impact of Enlargement and the Functioning of the Transitional Arrangements", based on a study conducted for the European Commission, NIESR, London.

Source: OECD (2012)

Intra-EU labour mobility

Figure 2.3. Immigrants¹ living in EU15 countries
Per cent of destination country working-age population, 2009²



1. Foreign nationals.

2. 2008 for Denmark, Finland, Germany, Portugal and Spain; 2007 for the Netherlands; 2006 for Ireland and Sweden.

Source: OECD, International Migration Database.

Source: OECD (2012)

EU and the rest of the world

Figure 2.6. **Net migration¹ in the EU27**
Per cent of total population



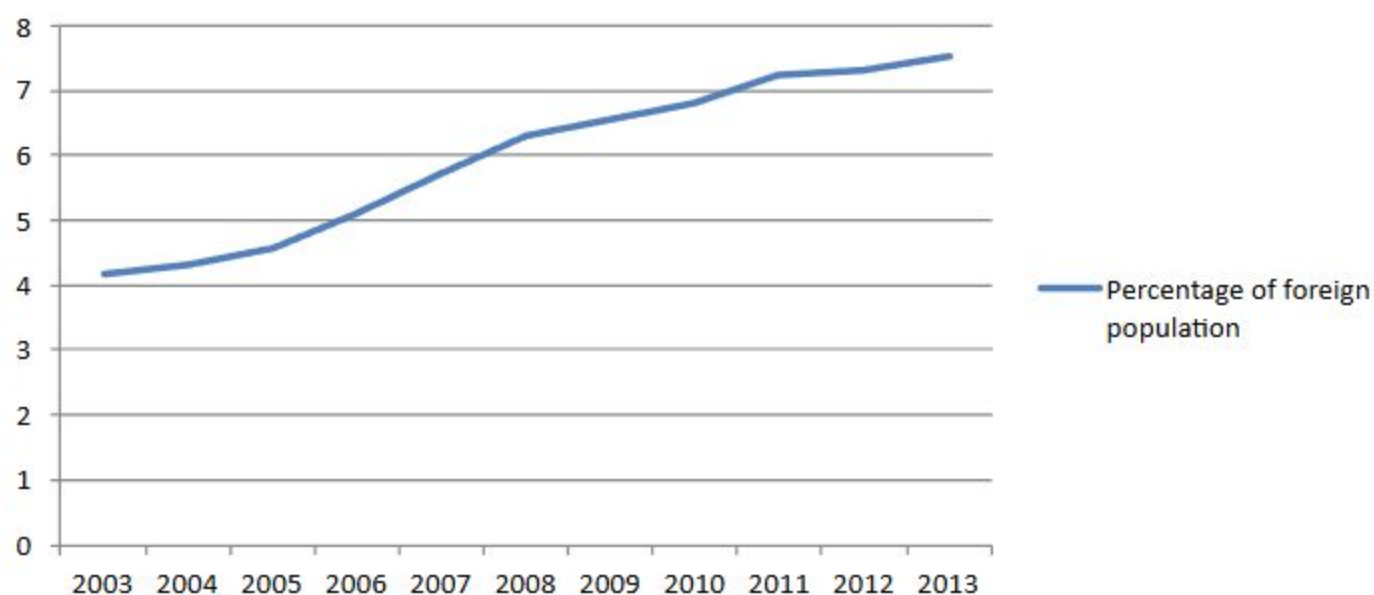
1. Immigration minus emigration (EU and non-EU).

2. Or nearest year available.

Source: Eurostat.

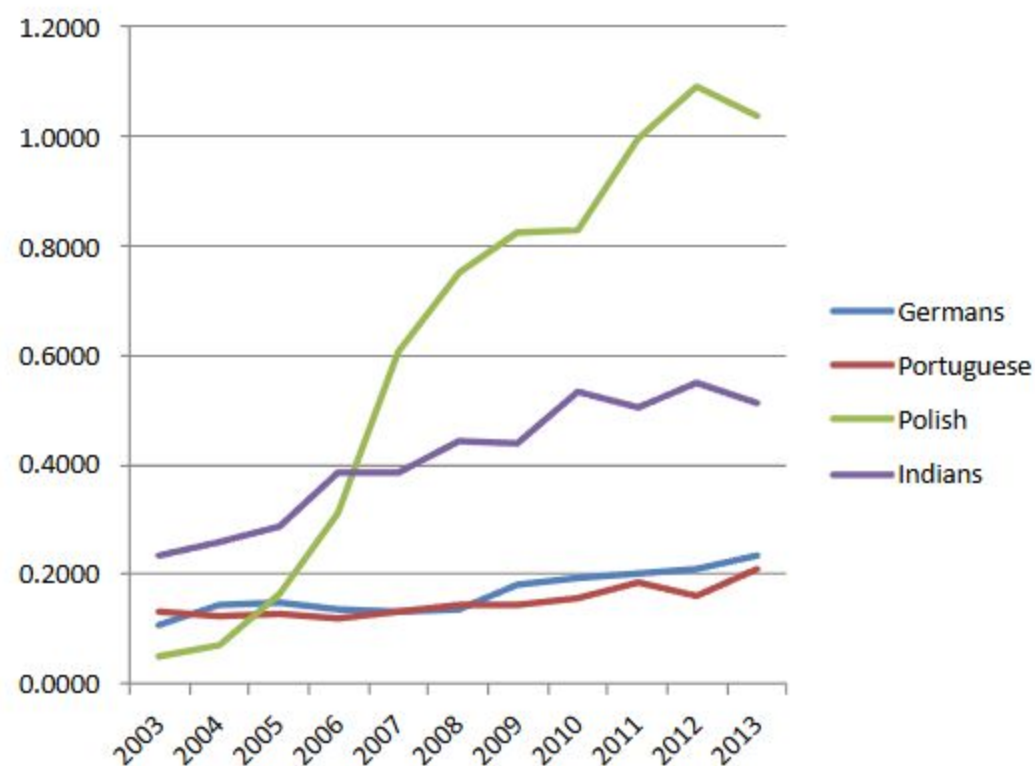
Immigration in the UK

**Stock of foreign population living in the UK as
% working age population, 2003-2013**



Source: OECD, International migration database and other data. Own calculations.

Immigration in the UK: by country



Stock of foreign nationals in the UK as a percentage of the working-age population, by country, 2003–2013. Source: OECD International Migration Database and other data. Own calculations.

Facts

- Data show that the migration from the EU12 to the EU15 accelerated after the 2004 enlargement.
- The stock of foreign EU citizens as a percentage of the working population was less than 5% in most EU15 countries in 2009.
- Although most countries in the EU experience positive net migration from the RoW, net migration rates are less than 0.8% in all EU15 countries (Luxembourg is an exception).
- In the UK, immigration has risen over time.

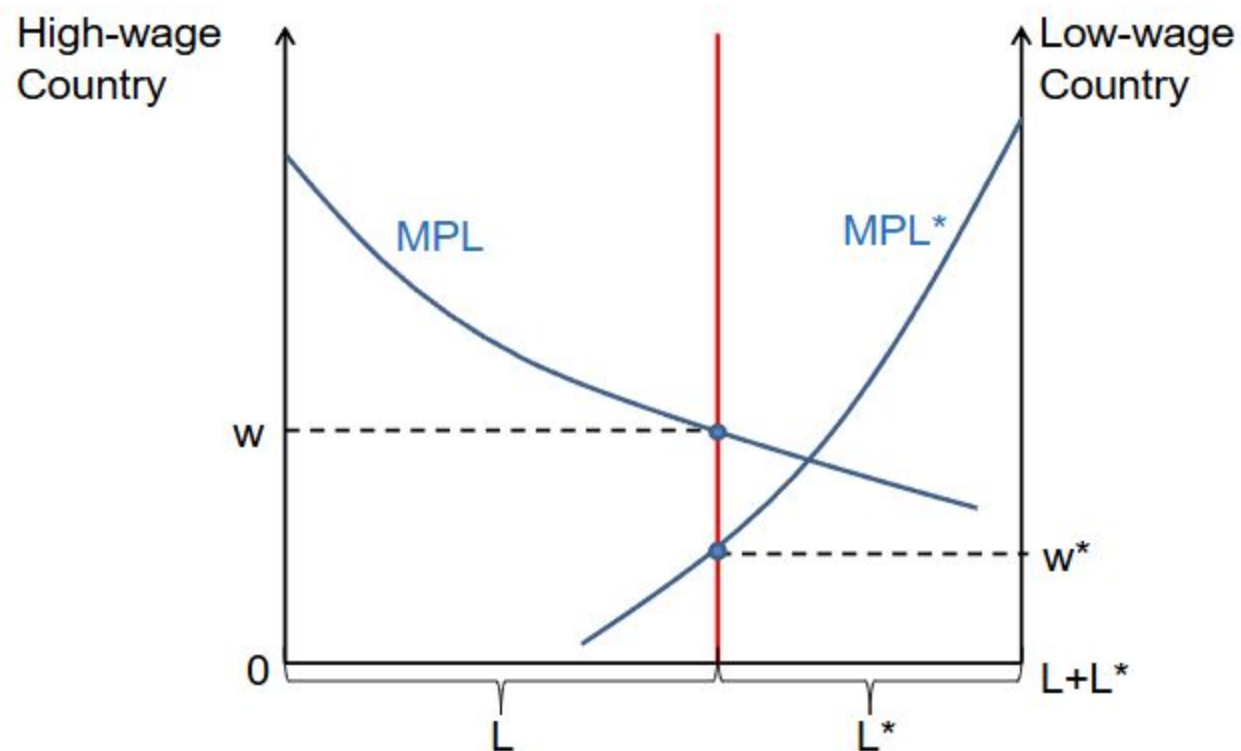
Migration with flexible wages

- Two countries
- Two factors of production (capital and labour).
- Capital cannot be adjusted.
- Labour supply is perfectly inelastic.

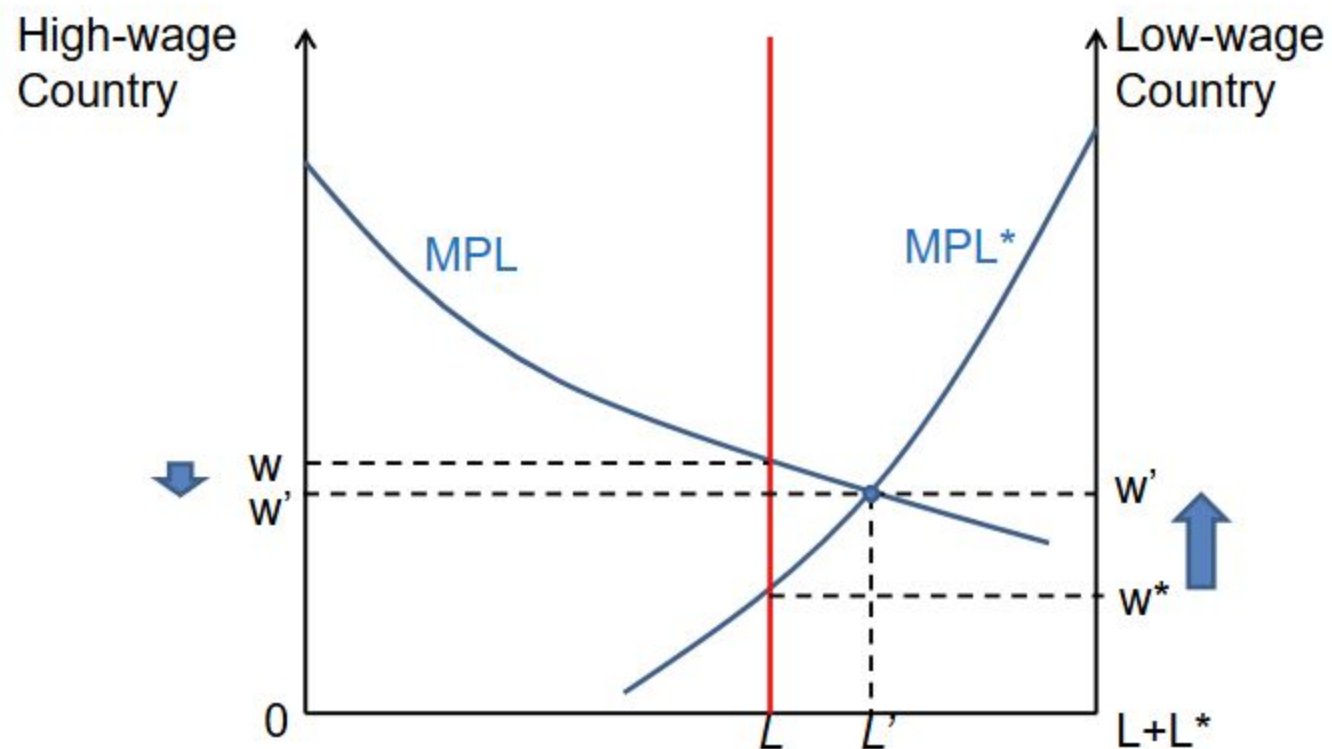
Countries have different wages to start with:

- Heterogeneous productivities
- Heterogeneous country size

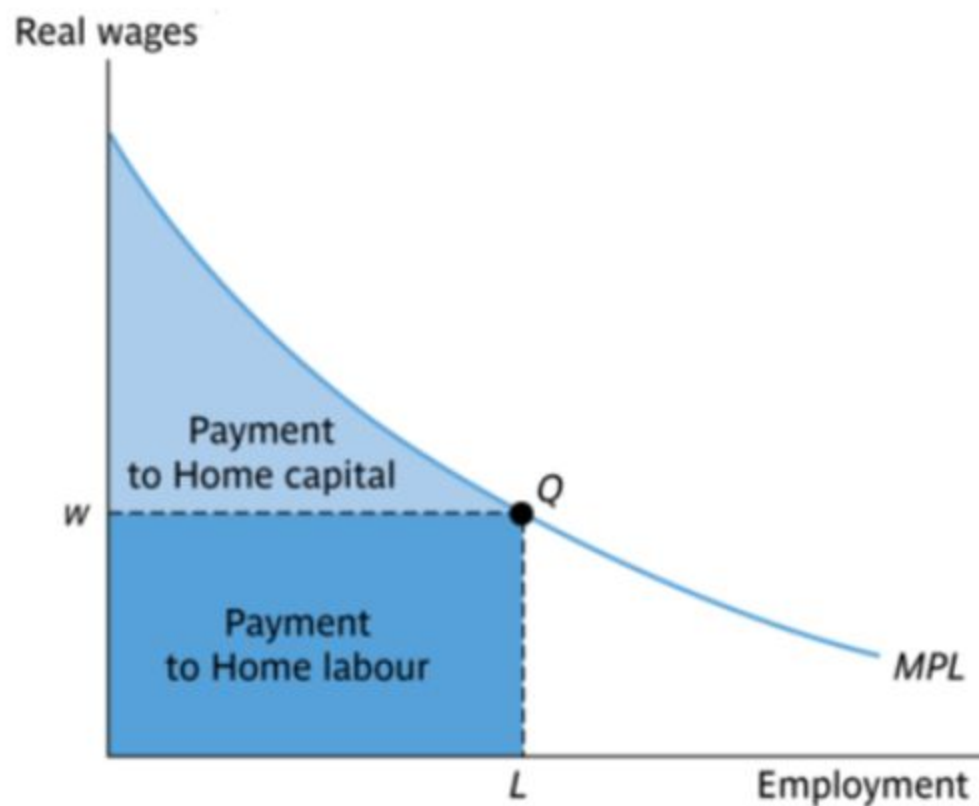
Closed economies



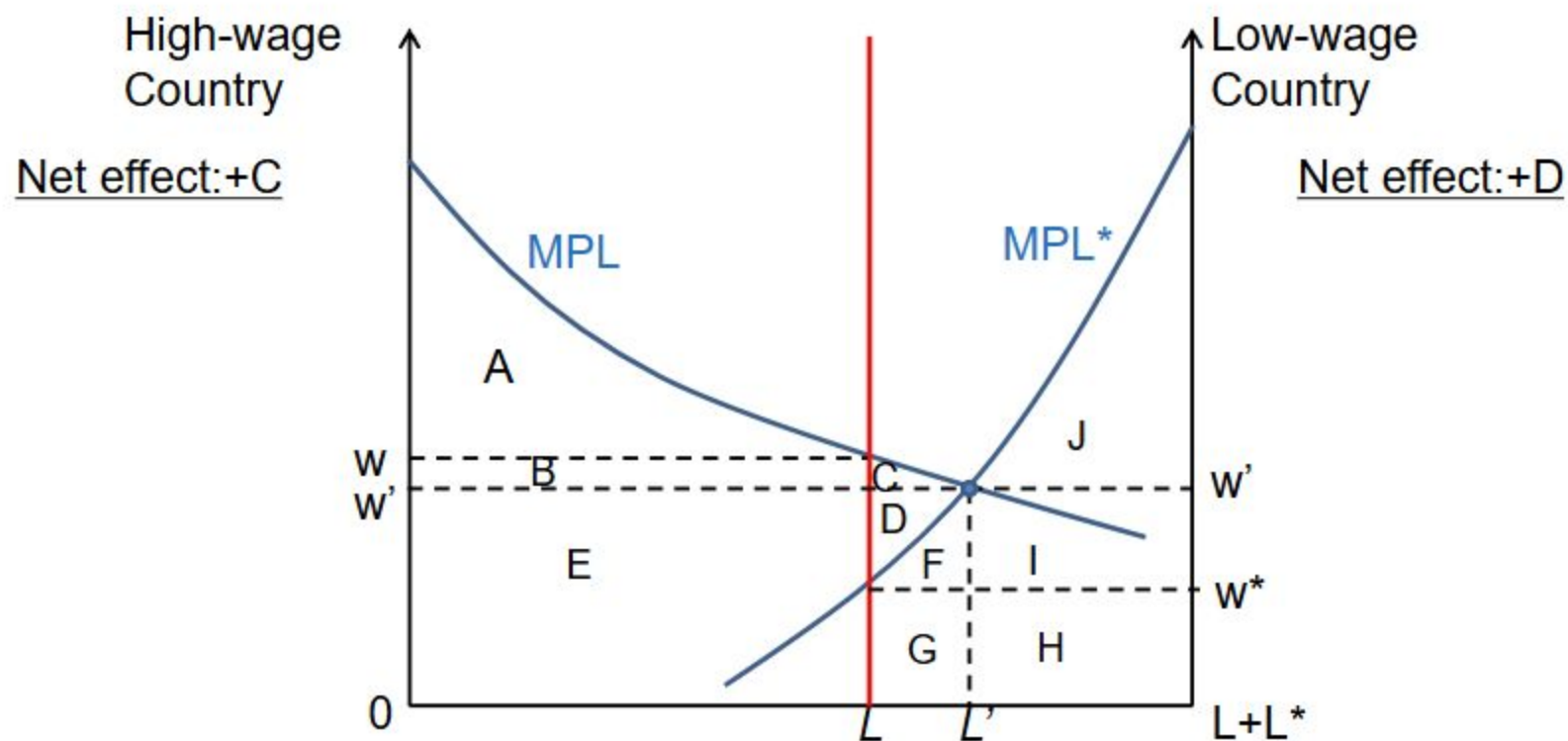
Migration



Division of income



Welfare



Welfare

- In the high-wage (low-wage) country, domestic workers lose (gain) while capitalists gain (lose).
 - Manacorda et al. (2012) have empirically shown that migration had no significant effect on the wages of UK natives.
- However, both countries gain from migration overall.
- Governments can address the uneven effects of migration using side payments.
- If migrants to the high-wage country are fiscal residents there, they will pay their taxes to the local government.

Skilled and unskilled migration

What about “skilled” and “unskilled” immigration?

Heckscher-Ohlin theory of international trade

- Countries specialise in the sector that is intensive in the abundant factor (partial specialisation).
 - The skilled-abundant country specialises in the skilled-intensive sector.
 - The unskilled-abundant country specialises in the unskilled-intensive sector.
- This has an impact on the countries' labour markets.
 - The demand for skilled (unskilled) workers in the skilled-abundant country increases (decreases).
 - The demand for unskilled (skilled) workers in the unskilled-abundant country increases (decreases).

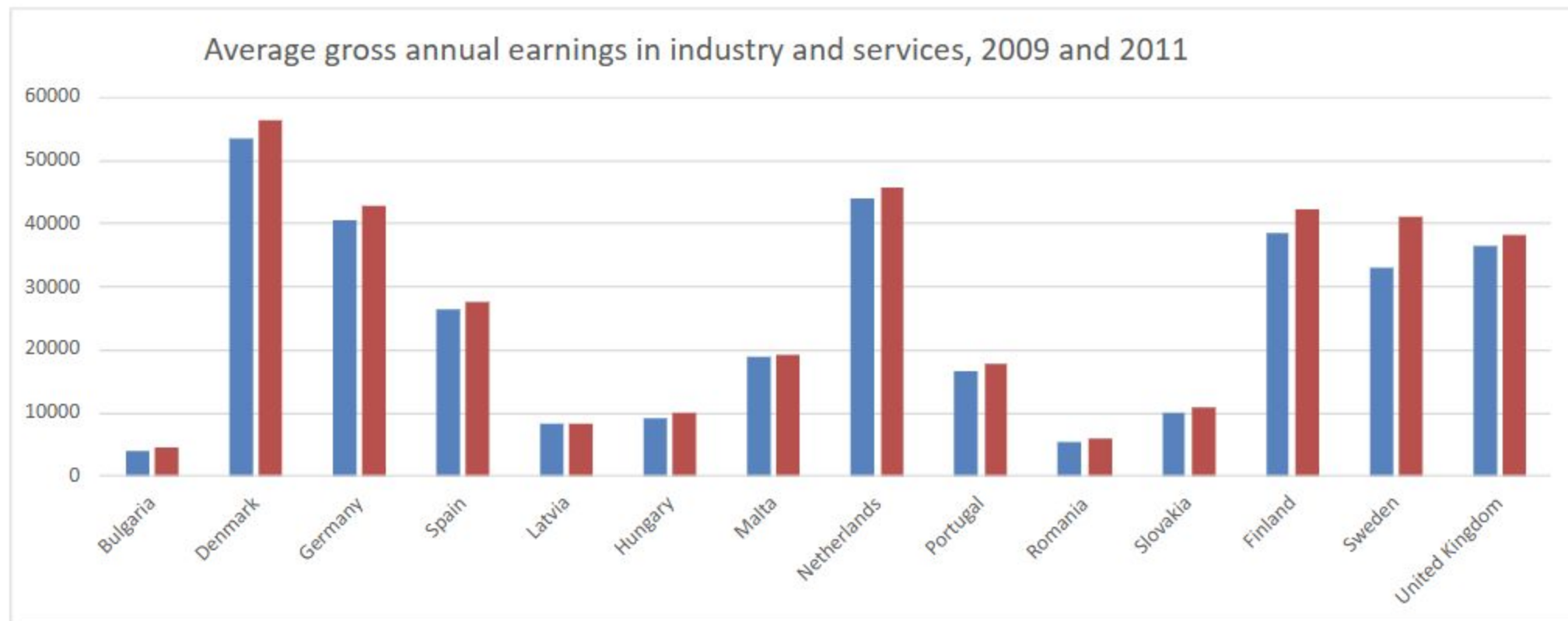
Migration under free trade

- Migration offsets some of the effects of international trade.
- Unskilled workers in the skilled-abundant country could move to the other country where the wage is higher, reducing unemployment at home.
- Skilled workers in the unskilled-abundant country could move to the other country to offset the negative impact of trade on their wage.
- The effects of international trade on unemployment depend on the model's assumptions (Ricardian vs. Heckscher-Ohlin).
- Empirically, Dutt et al. (2009) show that trade openness and unemployment are negatively related in the long run.

Migration

- **Key question:** are migration rates in EU too small or too big?
- Answer: if labour markets are sufficiently open, then wage differentials should be neutralised.
- Have wages converged across Europe?

Wage differentials



Source: Eurostat. Gross annual earnings in euros, before income tax and employee social security contributions. Full-time employees in enterprises with more than 10 employees. Years: 2009 and 2011.

Barriers to intra-EU labour mobility

- Lack of pension transferability.
- Cross-country information about job vacancies remains scarce.
- Recognition of professional qualifications is problematic.
- Public sector jobs are mostly closed to non-nationals.
- Housing market policies.

Source: OECD (2012)

Summing up the theory

- Migration implies a net increase in welfare for all the countries involved, although governments would need to compensate workers (capitalists) in high-wage (low-wage) countries.
- Wage differentials in the EU are big as the costs of migrating are high due to institutional differences across countries.
- There is no evidence of a negative impact of migration on wages in the UK.

Summing up the evidence

- Empirical evidence suggests that international trade is associated with lower overall unemployment in countries.
- There is little evidence on the impact of migration on unemployment.
- In seminar 2, we will talk about the indirect effects of migration (welfare state and innovation).

References

Essential reading

- Baldwin and Wyplosz, *The Economics of European Integration*, **Chapter 8 (any edition)**.
- Bosetti V., Cattaneo C., Verdolini E. (2015), Migration of skilled workers and innovation: A European Perspective, *Journal of International Economics*, 96, 311-322.
- Dustmann C., Frattini T., Halls C. (2010), Assessing the Fiscal Costs and Benefits of A8 Migration to the UK, *Fiscal Studies*, 31 (1), pp. 1-41.

Further reading

See the [ECON2271 Talis reading list](#), also available through Blackboard.